



HOUSEWIRING LOAN

POLICY 6-2 As Amended

PURPOSE: To establish policy on granting housewiring loans to members.

INTRODUCTION:

Some members of the cooperative, especially those in the rural areas, do not have ready cash to buy the materials in wiring their homes. Assistance can be extended to those members giving them housewiring loan in the form of housewiring materials.

Moreover, this assistance is maximized when the savings which the cooperative generates through bulk purchases is passed on to the members.

To attain these objectives, the Board of Directors hereby adopts the following policies:

POLICIES:

1. The housewiring loan shall be granted only to duly-accredited and qualified members of the cooperative.
2. Members desiring to avail of the housewiring loan must file his/her duly-accomplished applications to the cooperative.
3. The housewiring loan shall be in the form of materials; it shall not be given in cash.
4. The maximum amount the cooperative can loan to any member shall not be given in cash.
5. The interest of the loan shall be five (5%) percent per annum, deductible upon approval and release of the loan to the beneficiary.
6. The loan shall be paid within ONE (1) YEAR or twelve (12) equal monthly installments.
7. In case of default, a surcharge of one percent (1%) per month on the amount in default shall be charged.
8. The first re-payment shall be collected one (1) month after the house is energized.
9. If full payment of the loan is made within three (3) months, it should be considered cash and no interest shall be charged.
10. Furthermore, installation or housewiring materials should be done under the immediate supervision of a duly-licensed electrician or electrical engineer in



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accordance with existing electrical laws, a labor cost of sixteen pesos (P16.00) per outlet and twenty five pesos (P25.00) paneling fee shall be charged (subject to adjustment by the management as the need arises) to be paid in cash immediately after installation to the contracting electrician/s.

11. The Board delegates the authority to approve the loans to the General Manager subject to review when deemed necessary.

IMPLEMENTATION:

The General Manager shall be responsible in implementing this policy.

EFFECTIVITY:

This policy, as further amended, shall be made effective February 23, 1980.

(SGD) BASANIO TELLO
President

(SGD) REV. ALEXANDER PAATAN
Secretary

AMENDED per Resolution No. 14-80 dated February 23, 1980.